

Customer Churn Analysis Report

Contract vs Churn

Insight:

Month-to-month customers have the highest churn (**42.71%**) while two-year contracts have the lowest (**2.83%**).

Reason:

Short-term contracts give customers flexibility, while long-term contracts increase commitment and reduce switching.

Impact:

Churn is heavily concentrated in month-to-month users, making them the key risk segment.

Action:

Encourage migration to long-term plans using discounts or bundled offers.

Payment Method vs Churn

Insight:

Electronic check users have the highest churn (**45.29%**), while automatic credit card users have the lowest (**15.24%**).

Reason:

Automatic payments reduce friction and missed payments, while electronic check users may face manual payment effort or lower engagement.

Impact:

Payment method is a strong churn indicator, with manual payment users contributing disproportionately to churn.

Action:

Promote automatic payment setup using incentives like discounts or cashback to improve retention.

Revenue & Churn Risk Segmentation

Insight:

High-risk customers show the highest churn rate (**52.69%**) with revenue contribution of **₹183,524.80**. Low-risk customers have the lowest churn rate (**6.76%**) and contribute the highest stable revenue.

Reason:

Customers with short-term contracts and higher monthly charges are more likely to discontinue services, increasing both churn probability and revenue risk.

Impact:

A significant portion of revenue is exposed to high-risk customers, making this segment critical for retention efforts.

Action:

Focus retention campaigns on high-risk customers through contract upgrade offers, loyalty incentives, and pricing optimization.

Contract + Payment Method vs Churn

Insight:

Customers using **month-to-month contracts with electronic check payments** show the highest churn, while **two-year contract users with mailed check payments** show the lowest churn.

Reason:

Short-term contracts combined with manual payment behavior indicate lower customer commitment and higher switching flexibility.

Impact:

This customer combination represents the most unstable retention segment and contributes heavily to churn risk.

Action:

Target month-to-month electronic check users with retention offers and encourage automatic payment adoption.

Tenure Group vs Churn

Insight:

Customers with **0–1 year tenure** show the highest churn (**41.98%**), while customers with **4+ years tenure** have the lowest churn (**9.64%**).

Reason:

New customers are more likely to leave during the early service period, while long-term customers develop stronger service dependency and loyalty over time.

Impact:

Customer churn is concentrated in the early lifecycle stage, making onboarding and early engagement critical.

Action:

Improve first-year customer experience through onboarding support, engagement programs, and retention incentives.